

How to Choose the Right Stock to Purchase

Lesson 7: Building a Simple Stock Watchlist

Building a Simple Stock Watchlist - Study Notes

Key Concepts

1. **Stock selection criteria** – How to choose 3–5 stocks that match your investment goals, risk tolerance, and sector interest.
2. **Alert types & triggers** – Price, percentage change, volume, and news alerts; setting thresholds that make sense for each ticker.
3. **Tracking metrics** – Closing price, daily % change, cumulative return, volatility, and basic technical indicators (e.g., 20-day moving average).
4. **30-day performance review** – Calculating total return, comparing against a benchmark, and spotting patterns.
5. **Tools & platforms** – Free/paid apps, spreadsheet templates, and API options for automating the watchlist.

Summary

Creating a stock watchlist is a low-tech way to stay disciplined while you learn how markets move.

Start by picking 3–5 tickers that you either already own, are curious about, or represent sectors you want exposure to. Use simple filters—market cap, dividend yield, recent earnings surprise, or personal interest—to narrow the list.

Next, set up alerts so you're notified when a stock hits a price you care about, moves a certain percentage in a day, spikes in volume, or releases a news item. Most brokerage apps, free finance sites (Yahoo Finance, TradingView), and mobile alerts let you customize these triggers without writing code.

Finally, track performance daily for 30 days. Record the closing price, daily % change, and any relevant notes (e.g., earnings call, macro news). At the end of the period, calculate the cumulative return for each ticker and compare it to a benchmark like the S&P 500. This exercise teaches you how to interpret price action, manage expectations, and refine your selection criteria for future watchlists.

Important Points

- **Keep it small:** 3–5 stocks prevent information overload and make daily logging manageable.
- **Define clear alert thresholds:**
 - Price level (e.g., “alert me if XYZ falls below \$45”).
 - % change (e.g., “notify me if daily move > 1/3%”).
 - Volume spike (e.g., “alert if volume > 1/2× average”).
- **Use a consistent tracking sheet:** Date, ticker, close price, daily % change, cumulative return, notes.
- **Calculate cumulative return:**

$$\text{Cumulative Return} = \frac{\text{Final Price} - \text{Initial Price}}{\text{Initial Price}} \times 100\%$$

- **Benchmark comparison:** A simple way to gauge performance; if your watchlist beats the S&P /500, you may have selected strong stocks.
- **Review & adjust:** After 30 days, note which alerts were useful, which stocks under or over performed, and refine criteria for the next watchlist.
- **Tools you can use:**
 - **Free:** Yahoo Finance, Google Sheets, Finviz, TradingView (free alerts).
 - **Paid/Pro:** Bloomberg Terminal, Morningstar Direct, Thinkorswim, StockCharts.com.
- **Risk reminder:** A watchlist is for observation, not a guarantee of profit. Always consider position sizing and stop loss levels if you decide to trade.

Examples

Example 1 – Building the List & Setting Alerts

Ticker	Reason for Selection	Alert Type	Threshold
AAPL	Large cap tech, strong earnings history	Price	\$170 (below)
TSLA	High volatility, EV sector exposure	% Change	±4% intraday
JNJ	Defensive health care, dividend payer	Volume	> 2× 30 day avg
NFLX	Streaming growth, recent product launch	News	Any earnings related news
XOM	Energy exposure, dividend	Price	\$115 (above)

***Implementation*:** In Yahoo Finance, add each ticker to “My Portfolio,” then go to “Alerts” ! “Create Alert” and input the thresholds above. The app will push a notification to your phone/email when conditions are met.

Example 2 – 30 Day Tracking & Review

Date	Ticker	Close	Daily %	Cumulative %	Note
04 01	AAPL	172.5	+0.8%	+0.8%	Earnings beat on 03 30
04 01	TSLA	215.0	-2.5%	-2.5%	Post Q1 results disappointment
...	...	...	...	...	...
04 30	AAPL	181.2	+0.6%	+5.0%	New iPhone launch rumor
04 30	TSLA	230.1	+1.2%	+6.9%	Production ramp up news
04 30	JNJ	162.4	+0.3%	+2.1%	No major news
04 30	NFLX	398.7	-0.4%	-1.2%	Subscriber growth miss
04 30	XOM	112.8	-1.1%	-3.2%	Oil price dip

Review Findings

- TSLA generated the most alerts (price + % change) and delivered the highest 30 day return (+6.9%).
- AAPL's price alerts were useful; the stock outperformed the S&P /500 (+5% vs. +4.2%).
- JNJ's volume alert never triggered, indicating low volatility; it delivered modest gains.
- NFLX's news alert flagged earnings disappointment, which correlated with a negative return.

- XOM's price above alert never hit; the stock underperformed, suggesting the threshold was too high.

****Takeaway:**** Adjust future alerts to focus on volatility driven stocks if you want more actionable signals, and consider tightening price thresholds for stable dividend stocks.

Quick Review

1. ****Why is it recommended to limit a watchlist to 3-5 stocks for beginners?****
2. ****What are three common types of alerts you can set for a stock?****
3. ****How do you calculate the cumulative return of a stock over the 30-day period?****
4. ****What is the purpose of comparing your watchlist's performance to a benchmark like the S&P 500?****
5. ****Name two free tools you can use to create alerts and track a watchlist.****

Further Reading

- ****Fundamental vs. Technical Screening:**** How to pick stocks based on earnings, valuation ratios, or chart patterns.
- ****Risk Management Basics:**** Position sizing, stop-loss orders, and portfolio diversification.
- ****Using APIs for Automation:**** Intro to Alpha Vantage, IEX Cloud, or Yahoo Finance API for programmatic watchlist updates.
- ****Advanced Alert Strategies:**** Combining price, volume, and sentiment alerts for more nuanced signals.
- ****Performance Attribution:**** Breaking down returns into market, sector, and stock-specific contributions.

